

# NUSCALE POWER CORP SMR S

September 25, 2025 - 9:51am EST  
by

StockOperator

2025 2026

|                      |                      |          |   |   |
|----------------------|----------------------|----------|---|---|
| Price:               | 38.00                | EPS      | 0 | 0 |
| Shares Out. (in M):  | 295                  | P/E      | 0 | 0 |
| Market Cap (in \$M): | 11,800               | P/FCF    | 0 | 0 |
| Net Debt (in \$M):   | 0                    | EBIT     | 0 | 0 |
| TEV (in \$M):        | 11,800               | TEV/EBIT | 0 | 0 |
| Borrow Cost:         | Available 0-15% cost |          |   |   |

## Description

NuScale Power is a short to zero or near-zero. Driven by the AI and datacenter hype, nuclear stocks have witnessed a meteoric rise in the last 24 months. In my view, the hype will soon die out and lead to large losses for shareholders of most involved companies. While not a stock promotion or fraudulent in my view, NuScale doesn't have a product, doesn't have any customers and will not have either for the foreseeable future. While other small modular reactor (SMR) companies have at least received letters of intent, signed customer agreements to begin construction and have proven successful in winning commercial contracts from Big Tech and major utility companies, the same cannot be said for \$SMR and likely never will.

NuScale markets itself as the first-mover in the SMR space. It probably is - it was the first US company to receive NRC design approval and makes sure to tout this in every press release. Take note; press releases are important in this space; the more a company releases them, the higher its share price goes and the nuclear stock mania has gone so far that single tweets from the President or those in positions of power in high technology have been enough to add billions of dollars in market cap to these nuclear reactor **concept** companies.

The company declares itself the first mover and leader in Nuclear SMR with the longest operating history as if it's a good thing. In 18 years, NuScale has never built a single SMR device, never received a dollar of revenue from an SMR device and has recently been overtaken by competitors. Calling them competitors is generous, none of its peers (OKLO, GEV, Westinghouse, NNE) have ever deployed an SMR either. SMR companies are an idea, a school project, a fairytale; not a reality and their share prices will soon unravel. I see a lot of similarities between this and the Hydrogen stock mania in 2020-2022. Both will end in the same result, it's just a matter of getting the timing right and sizing the position correctly as to stay in it.

We have two catalysts coming up later this year and once they materialize, this is a \$5 stock at best. Funding is general carry, borrow rate is around ~1% annually with ~20% short interest in the name. Squeeze risk exists but for the professional investor, a 1% borrow is cheap and allows us to lean into the short and build a full position slowly over time. Long term put options are also a viable way to play this idea.

I think the short side of \$SMR offers a ton of value. I could give 20 reasons, but I'll focus on these 3;

### 1. False promises, cost & time overruns

NuScale's failure to deliver on the 2023 CFPP in Idaho or even reach the pre-construction phase of that project should have signalled the end of the company. The project was 10 years in the making and \$SMR's product was too expensive and risky for its utility partners to move ahead with. The stock's miraculous recovery since then offers us an attractive short on a company without a viable product. The company has an upcoming decision on its only remaining (potential) project in Romania which I believe will amount to nothing.

### 2. NuScale's product is inferior to competitors'

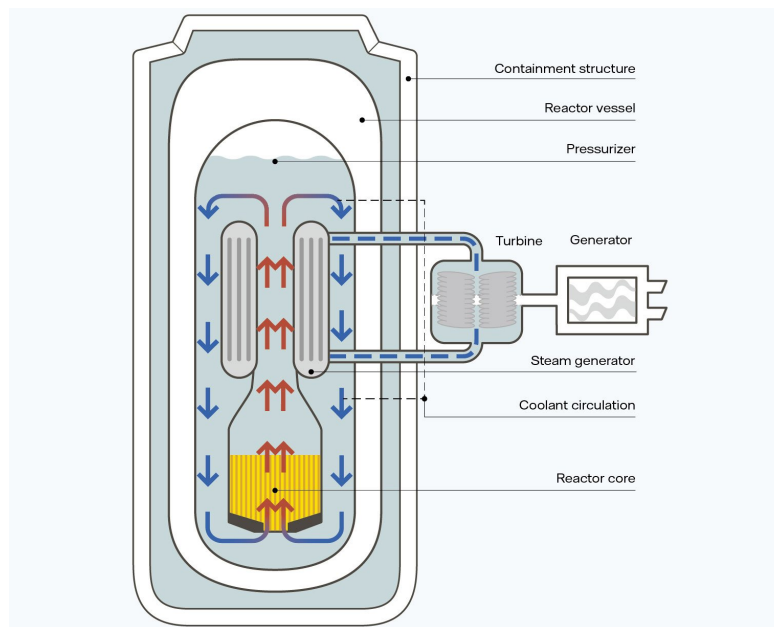
The company, which was a first-mover in the space, has been overtaken recently by more experienced, well-capitalized competitors. Companies such as GE Vernova - Hitachi, Westinghouse, Holtec and X-Energy have signed purchase agreements with both Big Tech and major utility companies in North America - NuScale has never gotten near this stage and has never signed a commercial contract. \$SMR's offering is inferior both in theory and in practice to other operators which explains why customers are reluctant to move ahead with NuScale.

### 3. Share dilution, cash burn, exiting majority shareholders

In addition to non-stop dilution through share issuances, NuScale's 60% majority shareholders see the writing on the wall and are exiting. \$FLR owns Class B shares and recently announced a 15 million share transfer of the Class B's to Class A's, which they are currently offloading as we speak. This is a pre-revenue, pre-product business and majority shareholders are just beginning to cash out at this nosebleed ~\$12 billion fully diluted valuation. This will create an overhang on the stock in the short-term and beyond.

## Small Modular Reactors

Small modular reactors are nuclear fission reactors which can produce 10-300 megawatts (MW) of electric power per unit vs 1000+ MW per unit for large, full-scale nuclear fission reactors. There are many design types for SMRs; light-water reactors (LWRs), Gas-cooled reactors, Microreactors, Molten-salt reactors (MSRs), Sodium Fast reactors (SFRs) etc. These designs differ in the "coolant" that they use to absorb the heat from the reactor's core, where the fission takes place, and transfer this heat to a generator or turbine, where it gets converted into energy. Diagram of a basic nuclear fission SMR is below. There are ~130 separate SMR designs as of now, but just to clarify once more, these are designs. Designs can get approved, companies can tout their design as being the best but they are still just designs, no SMR has ever been built. These SMRs are built in factories and can (theoretically) be transported and deployed to sites anywhere.



The idea of SMRs took hold in the early 2000's out of nuclear research arms of major US universities and was typically funded by the Department of Energy (DoE) with the Nuclear Regulatory Commission (NRC) acting as a bridge between government agencies and research institutions. Dr José Reyes was key in bringing SMR technology to the mainstream; he was a nuclear researcher at Oregon State, developed the first designs of how small modular reactors could work (in theory) and became a co-founder of NuScale (\$SMR). This is quite important because SMR technology was at the time, and still is, a concept. While theoretical designs have been drawn up as to how SMRs would work, to this day, no actual full-size SMR has ever been constructed by anyone or been deployed in a real-life setting. The closest we have gotten in 20 years are mock-up constructions of certain components- never the full thing and never even in a factory setting. SMRs started as a research concept, driven by the necessity to find an energy solution which could act as a low-cost, easily scalable, smaller size and theoretically safer option than full-scale nuclear power plants. 20 years on, they still are a research concept.

Full-scale nuclear reactor plants are incredibly hard to get off the ground. They cost 10's of billions of dollars and community, environmental and political backlash leads to lead times of between 10-30 years from start to finish. Even upon completion, the level of investment and maintenance costs associated with fission plants (e.g clearing up waste, maintaining clean water levels, electrical grid investment being) make them uneconomical and thus stigmatized. Three major nuclear fission disasters have also made nuclear power plants unpalatable to most governments; 3-Mile Island (USA, 1979), Chernobyl (Ukraine, 1986) and Fukushima (Japan, 2011). These nuclear meltdown events led to bans on nuclear energy sites, led to perceptions that nuclear power is dangerous and not worth the risk, substantial increases in insurance premiums and financing costs and longer lead times for full-scale nuclear power projects.

So there's a clear need for something cheaper, safer and faster to construct and this is where SMRs began gaining more attention and more government funding. SMRs take 3-6 years (in theory) to deploy, are cheaper per unit (in theory), are safer and don't require constant monitoring (in theory), have lower nuclear waste levels (in theory) and can be placed anywhere i.e not necessarily dependent on an existing power grid (have not been placed anywhere outside China or Russia yet).

## Company Overview

Now we get to NuScale Power, our weapon of choice in expressing the short side of nuclear SMR stocks. NuScale was founded in 2007 as previously mentioned and had close ties to both the DoE and the NRC by virtue of José Reyes. The company ran into trouble in 2011 when its main backer plead guilty to operating a ponzi scheme. NuScale almost went bust and was rescued in 2011 by Fluor Corporation (\$FLR), who pledged \$33.5 million (\$3.5m in cash, \$30m in working capital) for 60% of the company.

This was (and still is) a reasonable valuation for the company. Fast forward to now, \$SMR's market cap is north of \$11 billion.

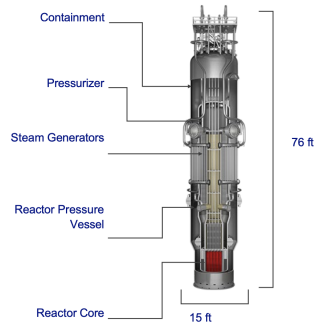
With FLR's backing, NuScale ramped up its fundraising efforts and received 500m+ in public-private funding with the sole aim of attaining an NRC design approval for its light-water reactor design, VOYGR. It was successful in getting its design approvals over the years and is still the only US company to receive the NRC stamp of approval. These approvals, of course, did not require NuScale to build anything. They were granted based off drawings and technical documents. After approvals, a longer (5+ year) safety review takes place, and then further approvals are needed before construction of a module can take place. The go-ahead to begin construction is the Combined (Construction & Operating) License - COL. This is granted when you have both a design approval and a planned engineering site & project. NuScale does not have a COL, has never had one and it currently does not even have a COL application under review. After working 7 years to get the 50 MW module approved, NuScale shelved it and does not intend to ever commercialize it. The company noted that it was uneconomical and not commercially attractive to potential customers. Its sole focus now is on the recently approved 77 MW VOYGR-6.

Below is NuScale's NRC approval timeline as well as their theoretical product, a light-water SMR module.

| Product / Design | Award / Approval | Date |
|------------------|------------------|------|
|------------------|------------------|------|

| Product / Design              | Award / Approval         | Date           |
|-------------------------------|--------------------------|----------------|
| NuScale Power Module (50 MWe) | NRC SDA & FSER           | September 2020 |
| US 600 Design Certification   | NRC Design Certification | January 2023   |
| VOYGR-6 (77 MWe)              | NRC Design Approval      | May 29, 2025   |

## Our Core Technology: the NuScale Power Module™



The NuScale Power Module design is based on proven light-water reactor technology

- Each module produces 77 MWe with up to 12 modules per plant (924 MWe)
- Modules run on existing, widely available, conventional light-water reactor nuclear fuel
- Modules are fully factory fabricated and shipped to the plant site via truck, rail or barge
- Modules can be incrementally added to power plants to match load growth
- Reduced capital and operational costs



NuScale Nonproprietary Copyright © 2025 NuScale Power, LLC. | Page 10

Estimates of NuScale's total funding before going public range from \$1.3 billion to \$1.5 billion, with \$600 million coming from Fluor (60% owners). Running out of government support and suckers whose money they could take, and still without a product or customer, NuScale decided to join us here in the public markets. Take a guess on how they came public?

## Hydrogen Stocks

Before getting onto how NuScale came public, for the rest of this writeup I'll be drawing similarities between the Hydrogen energy craze (2019-2022) to the ongoing Nuclear/SMR hype train. In 2019 and 2020, bolstered by net zero pledges, COVID stimulus and heavy ESG marketing and decarbonization mandates, a new swath of "Green Hydrogen" companies emerged on the scene. These companies claimed to be the future of energy and had figured out low-cost ways to harness hydrogen into electricity through fuel cells and electrolyzers. The use cases were in heavy machinery (Nikola, Ballard), fuel cell stacks to power data centers (PLUG, FCEL) and battery powered trucks (Nikola, Hyzon). They were cheaper, more fuel efficient, their only waste product was water and the Biden administration, alongside investors, threw billions of dollars of investment at them under the guise of a new energy revolution. Heavy retail sentiment, government subsidies, SPAC entrants and promises of mass deployment of hydrogen energy followed and the sector was touted as the future of energy. 3 years on, what did we get? Well, virtually nothing. Hydrogen energy turned out to cost 3x more than fossil fuels, it was unreliable (leaks, high maintenance costs), was outcompeted by cheaper batteries and required a lot more infrastructure than was previously thought. Here are the peak-to-trough returns of all aforementioned companies to this date;

Nikola (NKLA) -99%  
 Hyzon Motors (HYZN) -99%  
 FuelCell Energy (FCEL) -90%  
 Plug Power (PLUG) -95%  
 Ballard (BLDP) -95%

## NuScale Goes Public

Soon after the Hydrogen bubble burst, NuScale came public through, you guessed it, a SPAC with Spring Valley Acquisition Corp and started trading in May 2022. The valuation was \$1.8 billion; SMR raised \$380m in proceeds and another \$240 million from strategic investors from a PIPE. Total funding of ~\$620 million was to be used for commercialization of their SMR modules; licensing, manufacturing and their plan to build a first-of-a-kind (FOAK) project by engaging customers and partnering with utility companies.

## But how did SMR attain a ~\$1.8 billion SPAC valuation?

In a January 2022 registration statement unveiling NuScale to the world, Spring Valley gave these revenue forecasts: \$1 billion in 2025 revenues and \$1.9 billion in 2026 revenues.

The NuScale LLC projected financial information provided to the Spring Valley Board are summarized below.

| (\$Rounded to<br>nearest million) | Forecast Year Ended December 31, |       |       |       |       |       |       |       |        |        |
|-----------------------------------|----------------------------------|-------|-------|-------|-------|-------|-------|-------|--------|--------|
|                                   | 2021E                            | 2022E | 2023E | 2024E | 2025E | 2026E | 2027E | 2028E | 2029E  | 2030E  |
| Cash Revenue <sup>(1)</sup>       | 3                                | 16    | 145   | 672   | 1,058 | 1,896 | 3,641 | 6,480 | 10,008 | 13,119 |
| Cash EBITDA <sup>(2)</sup>        | (102)                            | (155) | (36)  | 116   | 191   | 434   | 896   | 1,610 | 2,457  | 3,171  |
| Free Cash Flow <sup>(3)</sup>     | (105)                            | (158) | (42)  | 93    | 127   | 304   | 640   | 1,173 | 1,809  | 2,340  |

And you won't even believe which companies Spring Valley used as relevant comps for NuScale to attach their made-up revenue numbers....

|                        | Enterprise<br>Value /<br>Revenue |       |
|------------------------|----------------------------------|-------|
|                        | 2025E                            | 2026E |
| Ballard                | 8.7x                             | 6.1x  |
| Bloom Energy           | 2.8x                             | 2.0x  |
| Enphase                | 10.2x                            | N/A   |
| FuelCell Energy        | 8.7x                             | 6.9x  |
| Plug Power             | 8.0x                             | 5.9x  |
| SolarEdge Technologies | 3.9x                             | N/A   |
| Average                | 7.1x                             | 5.2x  |

Based on the review of these selected comparable companies, the Spring Valley Board concluded that NuScale LLC's estimated enterprise values as a multiple of Cash Revenue for 2025 and 2026 of 1.8x and 1.0x, respectively (based upon NuScale LLC's estimated 2025 and 2026 Cash Revenue of \$1,058 million and \$1,896 million, respectively, as described above in "*Certain NuScale LLC Projected Financial Information*"), were an attractive valuation relative to the estimated enterprise values as a multiple of revenue of such selected comparable companies.

Aside from Bloom (\$BE), each of these companies is down 90% + from their highs. Spring Valley's 1.8x 2025 expected revenues of \$1 billion got them to a \$1.8 billion SPAC valuation for NuScale. Fast forward to today in 2025, NuScale has posted revenues of \$56 million in the last 4 quarters. These are not product revenues, they are amortized licensing and grant incomes, and 90% of them are from \$FLR i.e. related party transactions.

## PowerPoints & Promises

I want to show you some of NuScale's best work after 18 years in operation. Without any SMR module ever built and only ever managing to build a 1:3 size replica of the cooling mechanism, the company has relied on fancy PowerPoints, overly optimistic press releases and increasingly wild claims about the future to drum up investor demand. Below is a mock control room simulator and an AI-generated image of a hypothetical plant that they would create with their partner, ENTRA1, pending an actual agreement or project of course.







NuScale's 1:3 replica of the reactor's cooling system was built in the NIST-2 facility. The company used this facility for photo opps and then closed it down soon after. I'm not sure why the hard hats, I can guarantee you nothing was or is going on here other than posing for pictures. As I've said repeatedly, they have never built a single module.

## NuScale Integral System Test (NIST-2) Facility

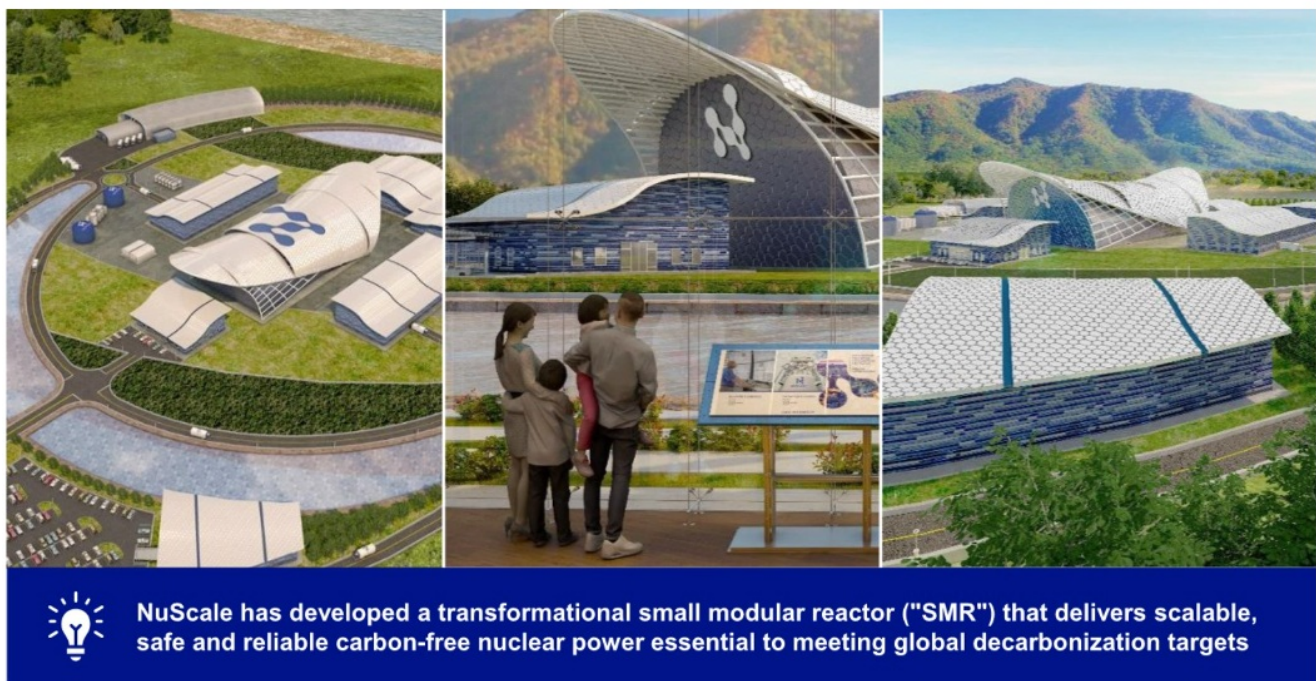


We designed and built the state-of-the-art NuScale Integral System Test (NIST-2) facility formerly located at Oregon State University in Corvallis, Oregon. It held a one-third scale prototype that replicated the entire NuScale Power Module™ and reactor building cooling pool. It provided an electrically-heated core to bring the system up to operating temperature and pressure. Stability testing ensures that throughout the expected operating conditions, natural circulation flow is stable.

The facility, now closed, demonstrated the strong safety case and viability of the NuScale Power Module, and provided an enhanced representation of our current reactor design. NIST-2 included a data acquisition and control system as well as extensive instrumentation additions which provided the measurements necessary for safety analysis code and reactor design validation.



Lastly a nice AI-generated image of a hypothetical family at a hypothetical NuScale plant at a hypothetical date sometime in the future.



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The company received substantial funding from 2014-2020 based on the promise of building the first-ever SMR plant in the US. The location was going to be Idaho and \$SMR raised \$1.2 billion+ in conditional funding from the DoE to accelerate the project. NuScale also touted its wide array of prospective customers and signed MoUs with various governments, none of which have ever led to shovels on the ground or signed commercial contracts. To this day, none of these "prospective customers" has ever paid NuScale for an SMR module. In dating terms, NuScale has never made it past the talking stage. The hype surrounding the upcoming Idaho project was enough to garner over \$1.8 billion in taxpayer funding over the course of 10 years.

### **What Happened in Idaho?**

The Idaho project was known as the CFPP (Carbon Free Power Project); it involved a consortium of 32 municipal utility companies who were on board with NuScale's proposal to build 12x 50 MW SMR modules to power their combined municipal area, which extended to parts of Utah, Wyoming, New Mexico and California. This consortium was known as UAMPS (Utah Associated Municipal Power Systems).

NuScale told everyone in 2014 they could build the 570 MW plant for under \$3.6 billion. They assumed a ~\$5,000 production cost per KWh of power. This was in line with the EIA's estimates of \$4,700/KWh for a large nuclear site and ~\$4,600/KWh for a coal plant. NuScale estimated they could complete the CFPP in line with those numbers because their modules were built off site and could be delivered and



installed cheaply on the planned site. Their estimate of the total costs of the project quickly rose to ~\$5 billion in 2019.



NuScale used this computer-generated image of a mock Idaho site on its 10-year fundraising marathon; looks good huh?

From 2014-2023, the company raised money and completed several significant milestones (licensing, regulatory approval, site confirmation, etc.) for the project. Included in their agreement with UAMPS was that if costs exceeded those previously agreed upon, UAMPS could terminate the deal. NuScale changed their assumptions; upon scrapping the 50 MW module design, they opted instead to build 6x 77 MW modules for a grand total capacity of 470 MW (vs previous ~570 MW). UAMPS agreed. NuScale then changed their cost assumptions; the production costs per MWh went from \$58 to \$89 (eventually getting to \$100/MWh) and the total cost of the project ballooned from \$5 billion to \$9.3 billion. The consortium backed out; the subscription rate of potential customers was 25% vs the 80% required to finance & continue the project. Soon after, both parties agreed to terminate the project. This is what NuScale CEO John Hopkins had to say about the 10-year (failed) project in November 2023:

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"Through our work with UAMPS and our partnership with the U.S. Department of Energy, we have advanced our NuScale Power Modules™ to the point that utilities, governments and industrials can rely on a proven small modular reactor (SMR) technology that has regulatory approval and is in active production. Our work with CFPP over the past ten years has advanced NuScale technology to the stage of commercial deployment; **reaching that milestone is a tremendous success** which we will continue to build on with future customers."

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So, after scrapping its 50 MW module (which took 7 years to get approval for), downsizing capacity, getting production costs wrong by 200% and before a shovel even hit the ground or they received a COL, the "tremendous success" of the CFPP had come to an end. The failure of the Idaho project has allowed us one of the best shorts of the next 12-24 months on NuScale. The company basically admitted that its product offering is not economical, commercially viable or appealing enough to customers, and this was with billions of dollars behind it and unanimous municipal support for the best part of 10 years. Under the most favorable of conditions, the company demonstrated it offers nothing of value and is just a series of design concepts.

Yesterday, NuScale announced that it had paid CFPP \$32 million for long-lead materials (LLMs) related to the failed Idaho project. The deal is then for CFPP to transfer this amount to the DOE. So basically, the DOE, which invested over a billion dollars (conditional) and easily over \$100 million of cash funds into the Idaho project, is getting repaid those funds by NuScale at a huge haircut.

### III. TERMS

The parties agree to the following terms:

1. NuScale will acquire all of CFPP's rights, title, and interest in and to the LLM Assets, as defined in Section IV of this agreement, for a total consideration of \$32,322,870.89. The payment by NuScale to CFPP and corresponding transfer and release by CFPP of all rights, title, and interest to NuScale shall occur on or before October 1, 2025. The consideration shall be payable by NuScale to CFPP and immediately precede CFPP's written: (i) assignment and transfer of all of rights, title, and interest in the LLM Assets (including all rights arising from work performed under Task Order 1A and Task Order 1B) to NuScale; and (ii) release relinquishing, waiving, and discharging any and all rights, title, and interest it may possess or assert in the future to the LLM Assets, including any claims, liens, or encumbrances of any kind, whether legal or equitable.
2. NuScale's payment obligation to CFPP under Section III.1 of this agreement shall be conducted through the issuance of credit invoices to CFPP, in reimbursement of funds previously invoiced to, and paid by, CFPP for funds remitted by DOE. NuScale shall issue credit invoices to CFPP totaling \$40,919,833.12, representing the full amount previously paid by CFPP under Task Order 1A and Task Order 1B. The credit invoices shall exclude and reverse the amounts related to subaward and subcontract components of the total incurred costs, thereby resulting in a net consideration to CFPP of \$32,322,870.89.

NuScale bulls are spinning this to mean that NuScale now has these LLM assets and could get another project off the ground. In reality, this is the DOE cutting all ties with NuScale, writing off their losses and basically vowing to never waste any more taxpayer funds on the company going forward. As it stands now, it would be political suicide for the Department of Energy to ever sign another MOU or do a deal with NuScale - they've proven they are a cash-burning concept - not a serious company - and yesterday's "deal" solidifies that NuScale is not a partner the government want to do business with going forward. Further reading of the 8-K confirms that this is in fact a closeout of DOE Awards.

11. If NuScale does not provide payment for the LLM Assets by October 1, 2025, then CFPP will promptly convey its existing rights, title, and interest in the LLM Assets to DOE as part of the CFPP award closeout, and NuScale agrees to facilitate the transfer of the LLM Assets to DOE in a manner that maintains the LLM Assets' quality. Further, NuScale shall issue a written release, signed by a duly authorized official, relinquishing, waiving, and discharging any and all rights, title, and interest to the LLM Assets, including any claims, liens, or encumbrances of any kind, whether legal or equitable. It will also confirm that NuScale transfers and retains no further rights, title, or interest, beneficial or otherwise, in the LLM Assets, and shall recognize DOE as the sole and exclusive legal owner thereof. In the event CFPP and NuScale transfer the LLM Assets to DOE pursuant to this section, Sections III.4 through III.6 of this agreement will remain in effect and DOE will assign a value to the LLM Assets for no less than \$32,322,870.89, for purposes of rebalancing the award cost-share during the close-out of DOE award DE-NE0008935.

**Also worth noting that as of today, CEO John Hopkins no longer holds a single share of NuScale.**

### Romania

Looking to hedge its bets during the 10-year long CFPP saga, NuScale signed an MoU with Romania's state-owned nuclear company Nuclearelectrica in 2019. This is currently the only ongoing project that \$SMR is involved in and the company's last hope of building a nuclear SMR plant in the next 10 years. Yes, Romania. ~\$13 billion market cap, no product, no customers, no orders so the company finds itself slugging it out in Romania.

NuScale has partnered with local nuclear company RoPower in a JV. Their plan is to build 6x 77 MW modules for 462 MWh of total capacity, similar to the updated Idaho project, by removing a pre-existing coal plant called Doicești.



# Key Market: Coal-to-Clean Energy Transition

## The Coal-to-Nuclear Transition

- Locating an SMR plant on an existing coal plant site would save 15-35% on construction costs
- 80% of 394 active and recently retired coal plant sites are candidates to host SMRs
- Each 12-module SMR plant would support ~270 permanent operation jobs and generate \$275M in new economic activity
- Moving from all coal to all nuclear would increase direct tax revenues by 92% per plant
- Additional tax incentives available for energy communities where coal-fired power plants have closed



Demolition of existing coal power plant at RoPower's Doicești, Romania site

NuScale claims they can build this plant cost effectively because there is less red tape in Romania, and because building on a site already used and zoned for energy extraction brings “synergies”. With this project, there has been no purchase agreement, no estimates of costs and RoPower is not a utility company with locked-in customers, so no potential buyers/“offtakers”. All we have is possible government US funding of \$4 billion through EXIM (not guaranteed) and political support from both the US and Romanian governments.

**Issue #1:** If the Idaho project was estimated to cost \$9.3 billion in 2023, and let’s say NuScale gets approval to go ahead with the Doicești project and receives \$4 billion from EXIM, where is the other ~\$4-\$5 billion coming from?

**Issue #2:** The Idaho project was 25% subscribed from 32 separate municipal utility companies in the United States (vs 80% required for construction to begin). In a country whose GDP is 25x less than the US, NuScale will be relying on getting substantial government subsidies from Nuclearelectrica to sell its power.

At Idaho project prices of ~\$0.10 KWh, NuScale’s KWh would be in-line with current Romanian utility prices, but the Romanian government plans to stop subsidies in March 2026 and let market forces dictate residential energy prices. In my view, there is no way this deal goes ahead – there is basically a zero % chance that NuScale can price this project’s power output to be in-line with unsubsidized utility prices in Romania.

- NuScale was expected to release more details about the Romania project sometime this year. This was meant to represent a bullish catalyst for the stock. The only update we’ve gotten is that there won’t be an update until late 2026, or early 2027.
- The company hasn’t even set forward pricing, schedules, raw materials suppliers for the Doicești project.
- If NuScale cannot get a pricing agreement or fails its FID for Romania 15 months from now, the stock is virtually worthless.

Other than Romania, all NuScale has are 2 non-binding MOUs (from Poland and Ghana) to maybe build modules sometime in the next 10 years. No numbers, no agreements so far – still in the talking phase.

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## Why the Opportunity Exists / Bull Cases

NuScale doesn’t trade at a fully diluted \$11 billion market cap because investors are discounting the future cash flows from SMR modules installed in 2030-2035 back to the present value. The company, along with other companies in the space, are symptoms of the market we’re currently in. The market we’re in is one where grifting, narratives and extrapolation of the present onto the future are rewarded. There are dumb pockets of the market driven only by political headlines and exciting narratives e.g. the world will be dominated by AI, AI will need power to run on, so let’s bid up nuclear stocks because maybe they could be the answer. Even though it makes no sense and nuclear SMR companies will not be commercially viable for another 10+ years, if ever, it works and narratives work reflexively (until they don’t). Every smart investor knows these SMR companies are worth very little, but momentum and narratives are tough to be short and that’s how we got here today. It’s also tough to be short nuclear when the admin of the Office of Nuclear Energy’s X account seemingly never sleeps, and post tweets such as the below almost every day.



**Office of Nuclear Energy | US Department...** @GovN... · Sep 23  
**The American nuclear renaissance isn't talk. It's action.**

24

41

234

12K



How do these narrative and momentum bubbles pop? Looking back to the aforementioned Hydrogen craze, it usually takes overall market weakness and less liquidity, retail investor demand and negative sentiment to get these mini-bubbles to pop. At some point, the market starts focusing on actual revenues and profits as opposed to narratives and forward-looking estimates. My take is that news flow will just die out here gradually. When nuclear isn't constantly being mentioned by Trump's DoE Secretary (formerly on the board of \$OKLO, mind you) momentum and hype will fade and back to reality we go.

Aside from narrative and momentum, the bull cases for \$SMR, \$OKLO, \$GEV rest on false premises; I'll quickly negate each of these before I move onto why \$SMR is a good short and why now.

1. **SMRs are more flexible/scalable, cheaper to construct & deploy and produce less waste than a) regular nuclear plants and b) alternate forms of energy.**

**Pushback: In reality, SMRs are too slow, too expensive and too risky.**

NuScale's Idaho CFPP intuitively told us that SMRs were far, far away from being a viable product ready for real-world use cases. A 2024 IEEFA report (linked in Appendix) analyzed SMR projects based on cost, speed to market, financial risk and product-market fit.

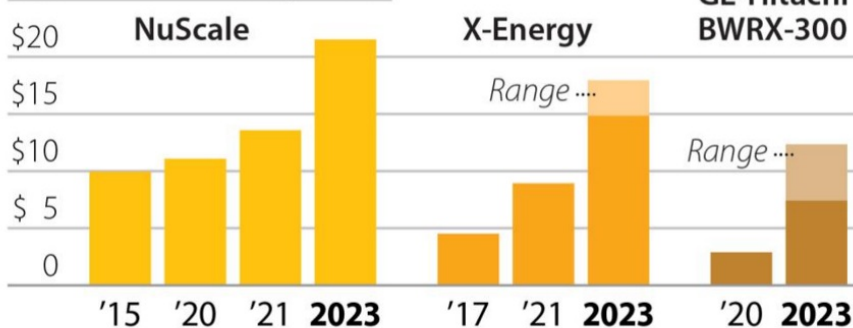
On costs, even well-seasoned operators with much better technology and product-market fit than NuScale tend to be completely off in their cost projections for their SMRs. Each year brings subsequent upward revisions which force SMR companies to upsize the MWh of their offering, similar to how NuScale shelved their flagship 50 MW module when running the numbers for Idaho.

GE Hitachi, Westinghouse and X-Energy are miles ahead of NuScale in terms of experience, commercialization and technology, but even still, their cost estimates for their SMR designs have faced upward revisions in recent years. The whole SMR space just seems like one big guessing game - even the highest quality operators have no idea how much it will cost them to put a hypothetical module in the ground 5-10 years from now.

**Figure ES 1: SMR Construction Cost Estimates Keep Rising**

Cost projections for small modular reactors, by year

\$25,000 2023 dollars per kW



Source: IEEFA calculations based on public data

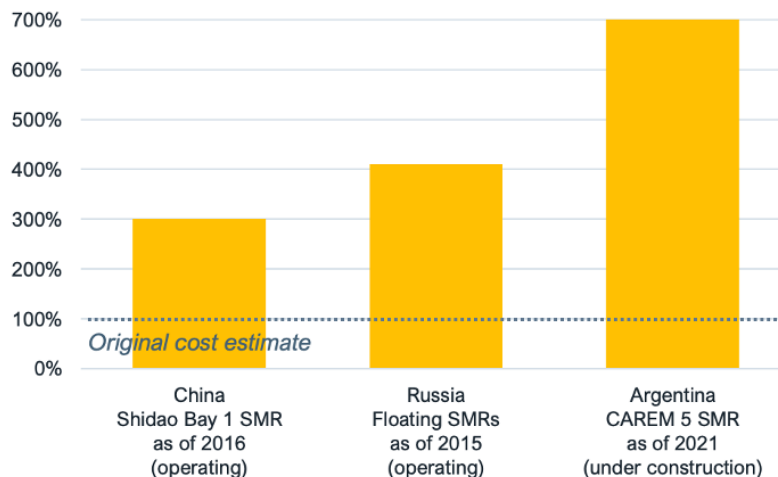
IEEFA

**Figure 2: Projected Cost Increases for Proposed U.S. SMRs**

Source: IEEFA calculations based on public data for each of the projects converted to 2023-year U.S. dollars. For example, see the [GE Hitachi website](#), [Four reactors could cost Saskatchewan \\$12 to \\$20 billion](#), [X-Energy and ARES Acquisition Corporation Announce Strategic Update](#), [Georgia Power Company's monthly and Quarterly Reports to the Georgia Public Service Commission on construction of the Vogtle Nuclear Project](#) and [IEEFA reports on NuScale](#).

Westinghouse and GE Hitachi said they could get their designs built for ~\$6,000 per KWh just 2 years ago. Now, both are revising their estimates higher and are converging on the \$21,500/KWh that NuScale estimated in Idaho. Energy output at this level is 3x more expensive than solar & wind, more expensive than regular 1 GW nuclear and more expensive than coal-derived energy. There isn't a single customer, no matter how much you say you support ESG and clean energy mandates, that will willfully pay 2-3x more for energy just because it came from an SMR.

Even in countries with abundant raw materials and less red tape in getting nuclear off the ground, cost projections for SMR projects are completely off. Getting utility companies or big commercial players to sign the dotted line for a project in which the supplier (SMR company) cannot estimate production costs or the implied energy output prices is near impossible, and gives us a sense as to how far away SMR companies really are from generating any money.

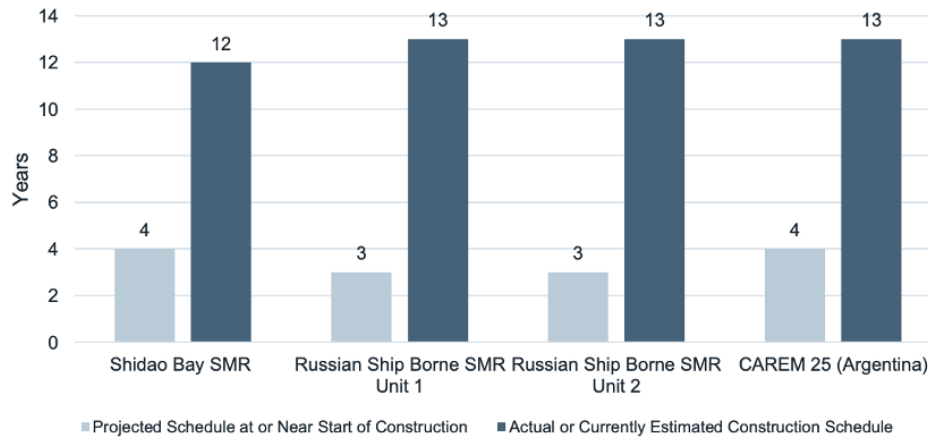
**Figure 1: Cost Escalation Experienced by SMRs in Operation or Under Construction**

Source: IEEFA calculations from data in the 2023 World Nuclear Industry Status Report and Bellona Environmental Foundation.

SMR companies profess that their strength is in speed, flexibility and scalability. By the way, what is the speed of something which never arrives? Is it 0 or minus infinity? No SMR in the West has ever even gotten a construction license so it's hard to tell the speed, but here are some schedules.



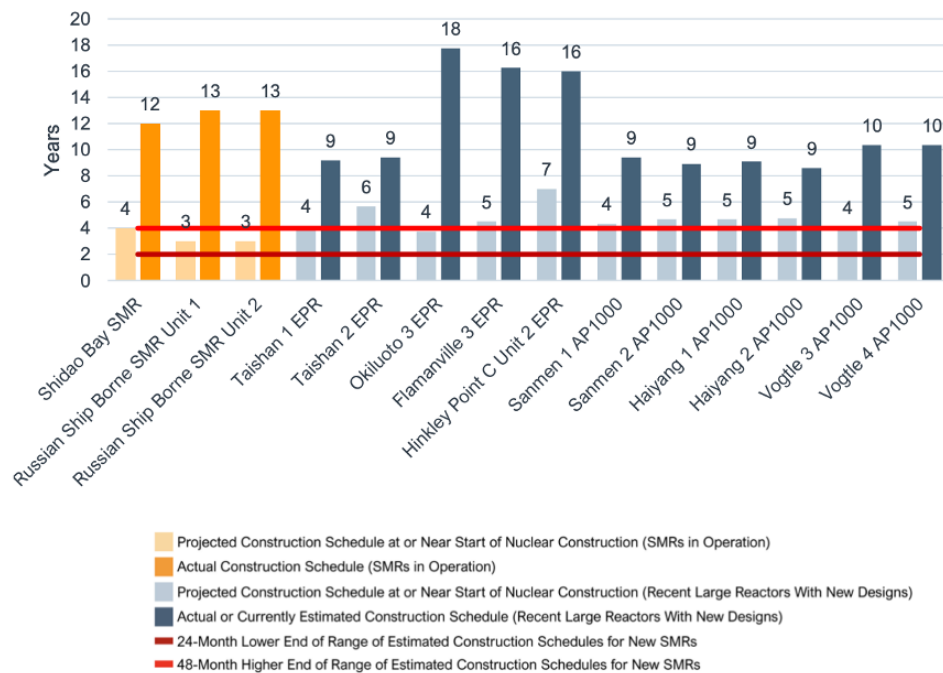
**Figure 3: Projected vs. Actual SMR Construction Schedules**



Source: IEEFA calculations based on data in the 2023 World Nuclear Industry Status Report and IAEA's Power Reactor Information System.

When SMR companies like NuScale that haven't got any signed agreements or purchase orders tell you they can be operating by 2030, take note. In reality, it seems to take 12-15 years, and these are from countries once again where nuclear is state-funded and directed without any regulatory delays. If SMR schedules are 12 years in China and Russia, what are they in the US or Europe?

**Figure 4: Nuclear Construction Reality vs. Rhetoric**



Source: IAEA Power Reactor Information System, EDF, 2023 World Nuclear Industry Status Report.

SMR companies point to modular construction as their differentiator; they can build in factories then deploy to sites easily. We have 2 recent examples of modularly constructed nuclear plants in the US. Vogtle plants 3&4 in Georgia were \$20 billion over budget and bankrupted Westinghouse, arriving 7 years late. Likewise, the VC Summer project in South Carolina, also run by Westinghouse, used modular construction. After a \$9 billion cash burn, the project was shelved. So when you hear about how NuScale, OKLO can get these modules deployed cheaply and quickly because they build them modularly, think again.

And the risk associated with SMRs? Here's what Georgia Power CEO said after the Vogtle plant was completed (7 year delay, \$20 billion

over budget):

**"I'd also say we're going to celebrate what we've done at Vogtle for a very long time before we give any consideration to any more [nuclear]."**

And finally what the CEO of NextEra (\$NEE) had to say about SMRs in 2022:

**"They are going to be very expensive and then you're going to be taking a bet on the technology. Right now, I look at SMRs as an opportunity to lose money in smaller batches."**

Each of these issues; cost, time to market and financial risk make SMRs in their current form uninvestable, and frankly, falsely advertised. Nothing that SMR companies market themselves on actually holds true.

## 2. The Trump administration favors nuclear / policy outlook for Nuclear energy is favorable.

### Pushback: Favorable policy can't fix a poor business model / no demand for product

NuScale has had unlimited government support, taxpayer funding and regulatory backing since its founding in 2007. It is basically the nuclear research arm of the DOE/Government. This hasn't helped at all – it still has no product, no customers and no agreements signed excluding vague memorandums of understanding and non-binding collaboration agreements. The Trump administration's positivity towards Nuclear favors SMR companies only in relation to (positive) headline risk. Tweeting about nuclear on the moon, being "interested" in SMRs only gets us so far. When push comes to shove, there still isn't a product. If the administration actually knew about NuScale's ~\$2 billion in cumulative taxpayer funding which has achieved nothing, I'm almost certain they'd pull the plug. When the headlines and the hype die out, SMR companies like NuScale will continue burning cash, diluting shareholders and that's when reality sets in (similar to the Hydrogen energy stocks).

More importantly, the fact that this administration is deregulating nuclear and speeding up approval processes for SMR and experimental nuclear companies (e.g. OKLO's microreactor offering) actually destroys the one unique quality of NuScale – its first-mover advantage. Competitors used to have to wait 5+ years to get the design approvals \$SMR worked so hard for so many years to get. Now, the process will be a lot faster. In the meantime, NuScale hasn't capitalized on its time advantage – it has nothing to show for its "1<sup>st</sup> US SMR company to be approved" badge.

### M.O, MOUs and ENTRA1

NuScale sells vaporware and because of this, they need constant announcements to keep the game going and the ball rolling as a public company, even though nothing is really happening. The company's M.O is to sign meaningless MOUs with anyone who has an ink supply, pump the stock a little bit and then hope that everyone forgets about it.

In October 2023, when NuScale management knew about the imminent cancellation of the Idaho project, they signed an MOU with Standard Power to build two SMR facilities in Pennsylvania & Ohio for 2 GW of capacity. They expected the plant to be operational by 2029. I'd love to be able to give an update on this, but I can't. This "agreement" has disappeared into the vaporverse and never been spoken about again. Management have never even referred to it since October 2023. It was clearly used as a distraction to take the market's attention away from the debacle that was happening with the Idaho project. Here's a list of other MOUs which have never been followed up on. As you can see, there's a lot of "exploring" and "evaluating" going on, but still, no PPAs, EPC deals or applications for construction licenses.

| Date        | Partner                                         | Country/Region | Focus/Purpose                                                                                                                                                   |
|-------------|-------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2015        | Utah Associated Municipal Power Systems (UAMPS) | United States  | The initial agreement for the Carbon Free Power Project (CFPP) in Idaho (this project was later terminated in Nov 2023).                                        |
| 2019        | Nuclearelectrica (SNN)                          | Romania        | To evaluate the development, licensing, and construction of a NuScale SMR plant. This was followed by a Teaming Agreement and the formation of RoPower Nuclear. |
| 2021 (May)  | Prodigy Clean Energy                            | Canada/Global  | To support business development for a marine-deployed nuclear generating station.                                                                               |
| 2021 (Sept) | Energoatom                                      | Ukraine        | To explore the deployment of NuScale SMR technology in Ukraine.                                                                                                 |





|                                                                                         |                   |                                                            |
|-----------------------------------------------------------------------------------------|-------------------|------------------------------------------------------------|
| Full Name (Last, First, Middle Initial) or Full Organization Name<br><b>C. OKLO INC</b> |                   | Date Donation Received<br>MM / DD / YYYY<br>12 / 23 / 2024 |
| Mailing Address<br>3190 CORONADO DR                                                     |                   | Amount of This Donation<br>250000.00                       |
| City<br>SANTA CLARA                                                                     |                   | Donor's Aggregate Donations To Date<br>250000.00           |
| State<br>CA                                                                             | Zip Code<br>95054 | <b>Transaction ID : F132.147500667</b>                     |

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| Full Name (Last, First, Middle Initial) or Full Organization Name<br><b>B. ALTMAN, SAMUEL, HARRIS, ,</b> |                   | Date Donation Received<br>MM / DD / YYYY<br>12 / 13 / 2024 |
| Mailing Address<br>950 LOMBARD STREET                                                                    |                   | Amount of This Donation<br>1000000.00                      |
| City<br>SAN FRANCISCO                                                                                    |                   | Donor's Aggregate Donations To Date<br>1000000.00          |
| State<br>CA                                                                                              | Zip Code<br>94133 | <b>Transaction ID : F132.147298331</b>                     |

Tinfoil hat aside, what is starting to become clear is that this administration-driven nuclear hype cycle didn't just come out of nowhere.

### MOU with TVA

From this \$1 million contribution to Trump's admin, ENTRA1 is now set to receive milestone payments from NuScale totaling \$35-\$55 million. This is the first tranche of related to its most recent "deal" to build 6 GW of capacity with Tennessee Valley Authority (TVA). This was lauded as a commercial deal by NuScale bulls. It is, however, just an MOU. It has been kept confidential and not publicized for investors, which tells me 3 things;

1. It is non-binding
2. No contract terms or project pricing has happened
3. Management does not feel like the deal is material public information, because if it was material to shareholders or the stock price, they would have to disclose details to shareholders (by law).

This was a well-timed announcement by NuScale. It occurred just \$FLR was about to begin offloading 15 million shares onto the market. Unfortunately, it's just another nothingburger MOU which will inevitably amount to nothing. TVA has signed many of these deals over the years with SMR companies – none have led to purchase agreements or construction applications.

### Short NuScale Power - Investment Thesis

So why \$SMR, and why now?

1. False promises, cost & time overruns

The Idaho project should have been the nail in the coffin for NuScale and for a while, it was. The stock went from \$5.80 to \$1.50 after CFPP was cancelled. NuScale was revived by the "AI Revolution" and the current narrative surrounding SMR nuclear energy. The Idaho project solidified \$SMR's fate however, by telling us the following:

- NuScale cannot build a cost-competitive SMR plant which off takers such as municipal or private utility companies will pay for.
- NuScale does not know how much its offering costs; doesn't have suppliers, raw material providers or even the manufacturing capabilities to produce a 6 or 12-pack module system.
- NuScale's final cost estimates (~\$21,000 /KWh) cost 3x more than solar and wind energy, are more expensive than regular full-size nuclear plant energy and even more expensive than coal.

Here is NuScale's Idaho project vs. currently running full-scale nuclear plants in Finland, France, England and the US respectively. NuScale's SMR offering is not cheaper or smaller than any of these plants.

Table 1: Latest North American/European Cost Estimates

| Project       | Capex<br>\$/kW | Const<br>years |
|---------------|----------------|----------------|
| Olkiluoto 3   | 6875           | 16             |
| Flamanville 3 | 8620           | 15             |
| Hinckley 3    | 12200          | 11?            |
| Vogtle 3/4    | 15200          | 14             |
| Nuscale UAMPS | 20130          | ??             |

Source: Jack Devanney / Gordian Knot Blog

NuScale's catastrophic failure in Idaho basically guarantees that it will never get a customer contract in the US or in the West ever again. With every tailwind at its back for the best part of 10 years, it never even got to the stage of applying for a COL. Any serious customer would turn away after 30 seconds of reading what happened in Idaho.

## 2. NuScale's product is inferior to competitors'

NuScale is meant to be an SMR company, i.e. small modular reactor company, but its standard 12-pack offering (12x 77 MW modules) is not small at all and maybe explains why customers are not ordering. The table below compares NuScale's offering to full-size, 1 GW nuclear reactors (not SMRs). For lower net output, customers must order 12 modules from an unproven company. These 12 modules combined are larger than a full-size nuclear reactor.

| Reactor Design      | Net Output (MWe) | Nuclear Island Volume (m³) | Description                                                                                     |
|---------------------|------------------|----------------------------|-------------------------------------------------------------------------------------------------|
| NuScale 12 pack SMR | 924              | 412,000                    | Modular design (12 × SMR units), US-origin; intended to offer safety, scalability, flexibility. |
| 1970s PWR           | 1,000            | 153,000                    | Classic Generation II pressurized water reactor, widely deployed globally since the 1970s.      |
| AP1000              | 1,117            | ~170,000                   | Westinghouse Gen III+ PWR, passive safety systems, built in US and China.                       |
| ABWR                | 1,380            | 184,000                    | Advanced Boiling Water Reactor, Generation III, primarily Japan/Taiwan, enhanced efficiency.    |
| EPR                 | 1,600            | 339,000                    | European Pressurized Reactor, Gen III+, large output, France/Finland/UK/China.                  |

Source: Jack Devanney / Gordian Knot Blog

NuScale's offering was meant to be small, flexible and scalable but because it only offers 77 MW (vs 300 MW offerings from competitors), the construction costs and installation costs of its "12-pack" would be too expensive and tough to deploy for customers. Westinghouse' new AP300 SMR design and GEV Hitachi's BWRX-300 are both 300 MW modules, so instead of installing 12 NuScale VOYGR's, installing just 2 of these competitor modules achieves the same power output (~ 600 MW). This is a key reason why no one is interested in NuScale's product, and likely never will be at this specification. If it wants another higher MW specification, that'll take another 5 years minimum.

In terms of deal flow in the SMR space, NuScale isn't even in any discussions for contracts and still only has its one possible project in Romania. The competitors I've mentioned have been a lot more active in signing agreements, securing letters of intent and receiving real, substantiated orders from Big Tech and Utility customers.

The three main North American SMR players are Westinghouse, GEV Hitachi and X-Energy.

Westinghouse is a regular nuclear plant company whose AP1000 operates in China and the Vogtle plants in Georgia, USA (famous for their cost and time overruns getting redeployed). Westinghouse is a seasoned operator and is developing the AP300, a scaled-down SMR of their AP1000. This product will likely win major contracts from big tech and utility companies when released and approved, and Westinghouse' pre-existing relationships with utility companies in the US and China, where it also operates plants, will help it do so.

GE Hitachi's collaboration has led to the best-in-class BWRX-300 SMR, which will be the first SMR deployed in the USA (expected in Tennessee ~2029). They also have firm orders from AEP (major Utility) in Indiana and will begin deploying the BWRX in Ontario (OPG, major Utility) in the coming years.

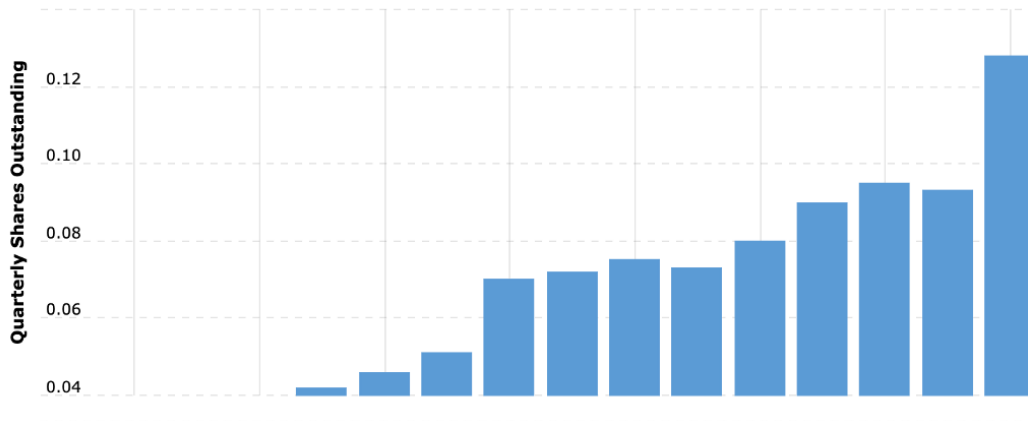
X-Energy possesses the most advanced technological SMR design but is yet to finalize its construction. The design has been talked up so much that Amazon invested ~\$500 million into the company, and Dow Chemical submitted a construction application to build its Xe-100's in their Texas manufacturing site in the coming years. Other investors are Citadel & Ares, and a joint agreement was signed with utility consortium Energy Northwest. The Xe-100 is set to come online by 2030. 2 weeks ago, X-Energy signed a joint agreement with Centrica to build 12 nuclear reactors in the North of England. NuScale rose 20% on this announcement. Yes, you read that correctly.

In the UK and Europe, Rolls Royce's SMR recently won a £2.5 billion government contract to build 3 GW of capacity. It also has an agreement for 3 GW of capacity in Czechia with CEZ.

**Put simply, there are real operators with substantial capital, technical expertise in manufacturing and relationships who are winning all of the SMR commercial and government contracts. NuScale is not one of them. NuScale is not even mentioned in these conversations and has never even been recognized as a finalist or contender when these contracts have been announced.**

### 3. Share dilution, cash burn, exiting majority shareholders

The two constants with NuScale have been incessant stock offerings and incessant press releases. \$SMR had ~42 million Class A shares outstanding in 2022 and now has 133 million. Including the Class B's which Fluor owns and the options and RSUs, NuScale's fully diluted shares outstanding now sit at 294.5 million.



## Capitalization Summary

| Share Type                        | Amount        | Description                                                                                                                      |
|-----------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------|
| Class A Shares                    | 133.0M        | NuScale Power Corporation Class A Shares                                                                                         |
| Class B Shares                    | 151.0M        | NuScale Power Corporation Class A shares issuable upon the exchange of one Class B share and one NuScale Power, LLC Class B unit |
| <b>Total Shares Outstanding</b>   | <b>284.0M</b> |                                                                                                                                  |
| Options                           | 5.6M          | (1) NuScale Power Corporation 2022 LTIP, and<br>(2) Legacy options converted to NuScale Power Corporation stock options          |
| Time-Based Restricted Stock Units | 4.9M          | NuScale Power Corporation 2022 Long-Term Incentive Plan                                                                          |
| <b>Total Dilutive Shares</b>      | <b>10.5M</b>  |                                                                                                                                  |
| <b>Fully Diluted Shares</b>       | <b>294.5M</b> |                                                                                                                                  |

294.5 m x today's \$40 share price gives us a fully loaded market cap of \$11.8 billion on NuScale. On every earnings call, Fluor (\$FLR) speak about the optimism they have for NuScale. On NuScale earnings calls, management are the same; positivity about the Romania project, talking to "potential customers", the opportunities are exciting, etc. What do they really think though?

## Number of Insider Shares Traded

| Insider Trade           | 3 Months | 12 Months   |
|-------------------------|----------|-------------|
| Number of Shares Bought | 40,051   | 51,594      |
| Number of Shares Sold   | 119,003  | 1,753,193   |
| Total Shares Traded     | 159,054  | 1,804,787   |
| Net Activity            | (78,952) | (1,701,599) |

Firstly, the CEO let his 10b5-1 plan run its course, didn't feel confident enough to part ways with his capital to buy shares of the company he runs, and now owns no shares of the company. Total insider ownership of the shares sits at 0.80% of all shares outstanding.

Secondly, Fluor filed in August to transfer 15 million of their class B's to Class A's, which they are currently offloading as I write this. These sales will bring Fluor's ownership of NuScale down to ~44%, or ~110 million shares remaining. I expect this ownership level to eventually get under 20%, and pretty fast. \$FLR has troubles of its own and investors are pressuring it to monetize its stake in NuScale over the next few quarters at peak "nuclear bubble" prices.

On July 31, 2025, Fluor Enterprises, Issuer and NuScale Power, LLC ("NuScale LLC") entered into an Exchange and Lock-Up Agreement, which is referenced herein as Exhibit 10 and incorporated by reference. Pursuant to the Exchange and Lock-Up Agreement, the Issuer has agreed to exchange 15,000,000 Class B common units of NuScale LLC (together with the cancellation of 15,000,000 shares of Class B Common Stock) currently owned by Fluor Enterprises for 15,000,000 shares of Class A Common Stock (the "Exchanged Shares") on August 12, 2025. Fluor Enterprises has agreed not to transfer (directly or indirectly, whether through derivatives or any other means) the Exchanged Shares until September 11, 2025, and from September 11, 2025 to December 31, 2026, not to transfer Exchanged Shares on any day in an amount which would exceed 5% of the daily trading volume on the New York Stock Exchange for that day.

\$FLR had been looking at "strategic alternatives" to start reducing their holdings since as early as their Q3 2023 earnings call. Funnily enough, this is around the same time the Idaho project got terminated and the stock was trading in the \$5 range. In my view, \$5 is where management insiders and Fluor felt safe selling when they figured out that NuScale is a failed experiment. It's also my price target on \$SMR. My sense is that more announcements of Class B-> Class A transfers are coming from \$FLR, which represents a heavy overhang on the stock, and limits to a squeeze/blowoff like we are currently seeing with \$OKLO.

NuScale burns around \$100-\$150 million of cash annually and has cash reserves of \$500 million. I don't foresee us getting to the stage in 2-3 years from now where NuScale has to issue more - I think the stock coming back down to fair value (\$0 - \$5) happens a lot sooner than that.

Good luck to all,

Stockoperator

## Appendix

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## Catalyst

- More FLR share offload announcements in the coming months
- Negative update on Romanian project in 2026/2027
- Continued cash burn / dilution in upcoming quarters
- FLR selling pressure
- Market realization that Nuclear in 2025 = Hydrogen in 2022

## Messages

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                     |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------|
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | 2c                  |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 12:14 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | bluewater12         |
| <p>Nice write up. Overkill for a shitco, but extremely comprehensive for anyone that wants fundamental conviction when playing with hand grenades. I like the hydrogen analogy because it was only when the concept turned into reality that people finally woke up to how stupid it was.</p> <p>What's wild about SMRs is they were meant to be a bridge – in concept and/or reality – back to nuclear. A modern solution that was smaller, safer, and modular. Since we were afraid of big, bad scaled nuclear, this seemed like the only way to slowly get public support back towards logical clean nuclear power. Fast forward and now we want nuclear everywhere, and SMRs are subscale with much higher levelized cost of energy vs big plants. As you highlight. We don't need the bridge. Not only is NuScale/SMR a loser in the SMR industry, but the SMR industry should be a loser in the nuclear industry.</p> <p>But who cares. This is a vibes market. I hope you are right on the timing cause this has already nuked a lot of short sellers.</p> |                     |
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Re: 2c              |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 12:30 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | StockOperator       |
| <p>Thank you, bluewater12. I think everyone knows these SMR co's are trash but I wanted to share a comprehensive look at them to give VIC members some conviction.</p> <p>I gave the idea full respect here because they are a scary short. Conviction is a nice thing to lean against given how scary things might get and these things trade.</p> <p>Timing wise, ~12 billion market cap is a nice starting point. It looks like OKLO has already blown off, and \$FLR will be a consistent overhang as a seller over the next few quarters, which mitigates a major squeeze for SMR.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |                     |
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | TVA                 |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 12:59 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | zzz007              |
| <p>No firm view on this one, but have been watching the space. Wasn't a deal with the TVA announced a few weeks back? Doesn't that count as a "major utility company"?</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Re: TVA             |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 01:09 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | StockOperator       |
| <p>Hey there. Referred to in the writeup. This was an MOU or collaboration agreement, not a deal. No pricing, no timeline/schedule, no cost breakdowns or EPC companies confirmed. It's an MOU because for an actual deal, you need to disclose it and you need to give numbers. This was confidential and thus non-binding.</p> <p>Further evidence that was an MOU is that in the Aug 27th filing, SMR said they would pay "milestone payments" on signing of a collaboration agreement. On Sept 3rd, they announced payment milestones to ENTRA1 in tranches. This means the TVA ENTRA1 deal was in fact a collaboration agreement.</p>                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Re: Re: TVA         |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 01:13 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | StockOperator       |
| <p>Market figured this out, albeit a bit delayed, and why the stock sold off from \$43 to \$33 beginning of the month.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        |                     |
| <b>Subject</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Where's Homer?      |
| <b>Entry</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 09/25/2025 06:01 PM |
| <b>Member</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | bowd57              |

Hi, StockOperator --



I can tell this company is fraud because I can't find Homer.

Yours,

Bowd

---

**Subject** Terrific writeup, but mind the \$MP risk  
**Entry** 09/25/2025 09:08 PM  
**Member** HelmHammerhand

I realize this is less of an issue with SMR than OKLO, but take a look at the quality of the MP writeup on this site not too long ago, and what happened next. I agree this company is doomed, but I might structure as a hedged short call or short in very modest size in case Trump decides to award them a PPA at 3x the utility rate for the Stargate project or something insane.

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**Subject** Re: Terrific writeup, but mind the \$MP risk  
**Entry** 09/25/2025 09:40 PM  
**Member** StockOperator

I've thought about the risk of govt taking a stake in NuScale and still a WIP on my end. Not sure the legal ability given nuclear is highly regulated, SMRs don't create physical materials, nuclear energy not national security so to speak, and then if govt would prefer to do it with NuScale's private comps, who are real operators, or take a public stake in a concept and run it basically from scratch. The tech is certainly not there with NuScale. If major utilities haven't given them a PPA or actual project yet, highly doubt the govt would. Will do more work on this side of things. For now, I don't see it as a major risk short-term.

I've been short the equity since \$45 and long a bunch of 2026, 2027 teens and single digit strike puts, but willing to be pushed out of the equity short if the situation requires it. Thanks for your great comment. Getting some low votes on this so it's appreciated.

---

**Subject** Trump Risk  
**Entry** 09/25/2025 10:23 PM  
**Member** bowd57

Hi, HelmHammerhand --

You evil Nazgul you.

> in case Trump decides to award them a PPA at 3x the utility rate

I hope this sounds neither critical nor political. But do you think we're at the "horse in the hospital" stage?

<https://www.youtube.com/watch?v=JhkZMxgPxXU>

Like, "Watch out for grocery stores, Trump might decree free roast beef"? I'm guessing that wasn't intended as a real risk factor, but rather, a joke I failed to get, which, brother, I've got to tell you, I've been there before myself.

Yours,

Bowd

---

**Subject** Re: Trump Risk  
**Entry** 09/25/2025 10:29 PM  
**Member** bowd57

Hi, HelmHammerhand --

Never mind, a dumb question, I haven't been paying enough attention.

Yours,

RP

|                                                 |                                                             |
|-------------------------------------------------|-------------------------------------------------------------|
| <b>Subject</b><br><b>Entry</b><br><b>Member</b> | Re: Re: Trump Risk<br>09/26/2025 09:40 AM<br>HelmHammerhand |
|-------------------------------------------------|-------------------------------------------------------------|

No problem- and just to clarify all the way for an unfamiliar reader - what happened to \$MP (among other bizarre improprieties) was that DoD awarded an essentially unlimited purchase of their product at twice the market rate:



Said differently - DoD agreed \$MP was a short! The company was understood by all concerned to be worthless, and yet today is worth \$14 billion and remains, for practical purposes, only somewhat more useful than a hole my kids might dig in my backyard.

And to address your joke about beef directly - Trump has tweeted about beautiful beef, talked about Australians importing beef, etc - I would be very careful shorting Tyson, for example.

So - the risk factor, plainly stated, is that Altman or Wright lean on the administration to award a special grant to Oklo or Nuscale or both, and that the form that it takes materially changes the cost equation in favor of SMRs to make them viable. Of course at some stage they would have to actually produce power, and that seems unlikely no matter what grants land at their feet (as the writeup nicely demonstrates), but there you go.

Full disclosure: I am short, can't help myself, but with a limited downside.

|                                                 |                                                         |
|-------------------------------------------------|---------------------------------------------------------|
| <b>Subject</b><br><b>Entry</b><br><b>Member</b> | Re: Re: Re: Trump Risk<br>09/26/2025 10:17 AM<br>katana |
|-------------------------------------------------|---------------------------------------------------------|



"Not sure the legal ability [of Trump to do that]. " HA HA HA HA HA HA HA! Trump has hauled off and done fairly major things that he has clearly has no legal ability to do, how many times this year? 20, 30, 40, 50? Definitely more than 20. Plus a few more that existing court precedent says he doesn't have the ability to do but the Supreme Court is probably going to change the precedent for him.

That said, I agree Trump/DoE won't *want* to make an MP-style deal for Nuscale, especially with a dozen SMR providers out there with better designs & company infrastructures.

---

**Subject** Re: Re: Re: Re: Trump Risk  
**Entry** 09/27/2025 08:28 AM  
**Member** heffer504

also agree, trump won't have anything to do with SMRs. after all, the first part of SMR is "small". Trump does not do anything small! he wants full sized nukes, or nothing at all!

i think this is a big, beautiful short pitch, with lots of reasons why it will work. just short some and stop being such cowards! it's a small form of civil disobedience, if nothing else...

- heffer

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**Subject** Re: Re: Re: Re: Re: Trump Risk  
**Entry** 09/27/2025 09:20 AM  
**Member** StockOperator

Katana, heffer thanks for the comments. Think both of you are spot on. This is very different from a "producer" type deal where Trump wants materials or rare earth minerals to equalize the playing field with China.

This is a long lead time infrastructure project which, even if he does do a deal, won't show a return or anything concrete for 10-15 years - by that time a new administration will be in charge and who's to say what will happen.

Based on Helm's comments on the \$MP deal, this gives us two outcomes;

- 1) the government subsidizes the output i.e the power output from SMRs, which at least makes them a viable investment on a 10-year horizon (as they would be able to get utility off takers).
- 2) the government subsidizes the actual construction costs, which would be >\$10 billion per SMR project at minimum - and would come with overruns (time & cost) which would turn ugly pretty quickly and represent bad optics.

At heart, I think Trump is a realist and would look at that sort of project as a loser. He's been kind to nuclear publicly but deep down he wants oil, fracking, materials and projects he can see immediate results from.

---

**Subject** share px strength?  
**Entry** 10/15/2025 11:24 AM  
**Member** ShowMeThe\$\$

Hey StockOperator,

Any idea for the strength in shares L5D? I see that the stock is up on "rumors" but do you know what they could be?

---

**Subject** Re: share px strength?  
**Entry** 10/15/2025 01:03 PM  
**Member** zzz007

[POLITICS](#) | [NATIONAL SECURITY](#)

## U.S. Army Plans to Power Bases With Tiny Nuclear Reactors

Janus Program fulfills a Trump order to start powering military installations with state-of-the-art nuclear technology

By [Heather Somerville](#) [Follow](#)

Oct. 14, 2025 7:58 pm ET

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**Subject** Re: share px strength?  
**Entry** 10/15/2025 05:43 PM  
**Member** StockOperator

TLDR- - Just general MOMO/mania in nuclear, quantum, shitco space.

The Janus program announcement is pretty hilarious for \$SMR because it's for very small reactors (WSJ reckons < 20 mW). NuScale's offering is 77 mW. So it doesn't even apply to them.

There have been so many policy announcements since Trump took office - grants for micro reactors, pilot program, now Janus. The DoE even gave a shortlist of 11 SMR companies they're partnering with and NuScale wasn't included.

What's even more mind-boggling is the lack of ATM offerings, but then again, what would they raise money for? They don't have any projects. When the raises start, I think we'll get a quick -30% on the sector.

Position wise, I exited the naked equity short today at breakeven, but increased my position in long dated far OTM put options. Nominally more short than I was before today.

Expecting another \$FLR announcement in the next 2-3 weeks.

|                |                            |
|----------------|----------------------------|
| <b>Subject</b> | Short to 0 - Hadron Energy |
| <b>Entry</b>   | 10/15/2025 05:56 PM        |
| <b>Member</b>  | StockOperator              |

FWIW, there's a company called Hadron Energy which is going public soon through \$GIG in a SPAC. The CEO, Samuel Gibson, is 23 and just graduated college - no nuclear experience. He boasts on his LinkedIn he got a 3.7/4 from University of Nebraska-Lincoln.

They have no designs, haven't picked what type of reactor they're gonna make yet (they keep changing their mind) and haven't filed anything concrete with the NRC yet. Just vaporware.

The market cap on Hadron will be \$1.2 billion. It's a short to \$0 and anyone looking for a good funding short should take a look at \$GIG.

|                |                                |
|----------------|--------------------------------|
| <b>Subject</b> | Re: Short to 0 - Hadron Energy |
| <b>Entry</b>   | 10/15/2025 06:59 PM            |
| <b>Member</b>  | rookie964                      |

The stock is being dictated by YOLO option betting IMO. Take a look at what traded today expiring this week in SMR. It's just shocking and almost all call option based buying.

|                |                     |
|----------------|---------------------|
| <b>Subject</b> | Activist in \$FLR   |
| <b>Entry</b>   | 10/20/2025 07:22 PM |
| <b>Member</b>  | StockOperator       |

<https://archive.ph/2025.10.20-223642/https://www.wsj.com/business/deals/starboard-stake-fluor-construction-firm-135c7df1>

Starboard Value takes stake in NuScale's 40% owner Fluor. Looking to push a sale of NuScale stake.

The long \$FLR, short \$SMR trade from here probably makes ~50% on each leg, IMO.

Starboard founder will speak at a conference tomorrow, Tuesday 21st, to further outline the thesis.

|                |                                                         |
|----------------|---------------------------------------------------------|
| <b>Subject</b> | Fluor monetizing 100% of stake, bloodbath earnings call |
| <b>Entry</b>   | 11/06/2025 06:05 PM                                     |
| <b>Member</b>  | StockOperator                                           |

Fluor will offload all of its 110 million shares on the open market over the next 12 months. Revenues were \$8 million, Nuscale paid \$495 million to ENTRAI in the quarter.

This earnings call is one of the craziest I've heard, and the first time management has been questioned and forced to answer some tough questions:

Some highlights:

- Mgmt couldn't explain what ENTRAI plans to do with the \$495 million. Not one single thing
- Analysts questioning ENTRAI; its lack of assets, experience in nuclear. Basically saying its just political connections with no EPC background in nuclear
- Mgmt getting aggressive near the end of the call in defending ENTRAI
- Nuscale doesn't have any other ways of paying further milestones to ENTRAI without stock offerings, after existing cash runs out
- These milestone payments tally to ~\$3 billion, cash on hand is ~750 million.
- Still no deal, still no TVA PPA, analysts questioning what happens if no deal is signed. Cash to ENTRAI would roll forward to "next project"
- No updates on Romania

Have a feeling things starting to heat up. Analysts finally seeing through the BS

|                                                 |                            |
|-------------------------------------------------|----------------------------|
| <b>Subject</b>                                  | Author Exit Recommendation |
| <b>Entry</b>                                    | 02/13/2026 04:30 AM        |
| <b>Member</b>                                   | StockOperator              |
| The author has recommended exiting the position |                            |

|                |                                |
|----------------|--------------------------------|
| <b>Subject</b> | Re: Author Exit Recommendation |
| <b>Entry</b>   | 02/13/2026 04:36 AM            |
| <b>Member</b>  | StockOperator                  |

I'm not exiting this based on anything other than just annoyance. This pitch came to me at a pretty tough time when my life was nosediving and I needed a distraction. The idea was great because it allowed me to get obsessed and distracted by an idea, go down rabbit holes, step in front of momentum and be contrarian.

Whenever I see this ticker in my watchlist it just annoys me now and takes me back 6 months. These conspiratorial style short ideas are like the horcruxes from Harry Potter and this idea probably ends up living with me for a long time after this. But I want to get rid of it.

I hope some VIC members made some money off this. Its a 65% winner in <5 months - maybe like 150% annualized after borrow and fees.

I think the stock goes lower from here but I won't be involved, I just want to move on. Cheers